

China Daily Brief

Wednesday, October 7, 2026

2,547 words · 10 min read

RE: RE: Lai-son spy case · Wang Yi presses Takaichi on Taiwan remarks · EU-China trade talks in Beijing

USD/CNY

6.6933

▼ -0.17%

HANG SENG

24,130.50

▼ -1.60%

BRENT

\$101.94

▼ -0.30%

Not fetched today: SSE Composite · shown only when sourced, never carried forward

IN THIS ISSUE [Top Stories](#) · [US-China](#) · [The World](#) · [Beijing](#) · [Markets](#) · [Statements](#) · [Overnight](#) · [The Wire](#) · [Upcoming](#)

• TODAY AT A GLANCE

- 1 FBI's arrest of alleged PRC agent Zhang Wanying for surveilling President Lai Ching-te's adult child in Seattle draws Senate Republican fire and a MOFA denial of any knowledge of the case.
- 2 Wang Yi tells Tokyo that Prime Minister Takaichi must personally resolve her Taiwan remarks dispute, rejecting any indirect fix, as Japan separately protests Beijing referring to her by name without her title.
- 3 EU trade chief Maros Sefcovic departs for Beijing to meet Commerce Minister Wang Wentao Thursday and Friday against an October deadline Brussels set for rebalancing, as the EU readies a Chinese hybrid-vehicle import cap.

CROSS-STRAIT

FBI espionage case targeting Lai Ching-te's son roils Washington, Beijing denies knowledge

US prosecutors charged **Zhang Wanying** with acting as an unregistered PRC agent after she allegedly surveilled an adult child of Taiwan President **Lai Ching-te** in Seattle in September, passing photos, video and license-plate data to a Chinese official; the charge carries up to 10 years in prison. Republican Senators Blackburn, Ricketts and Scott called the case evidence the CCP is exporting repressive surveillance to the US, while China's foreign ministry said it was unaware of the case and accused Washington of 'hyping so-called Chinese spies' to smear China.

CHINA TIMES (ZH); VOA CHINESE

DIPLOMACY

Wang Yi tells Tokyo Takaichi must personally resolve Taiwan remarks dispute

Wang Yi rejected any indirect fix to the row over Prime Minister **Sanae Takaichi**'s Taiwan remarks, saying she must resolve the issue herself rather than through a third channel, per Japanese and Korean wire reports. Tokyo separately protested after Chinese officials referred to Takaichi by name only, without her prime-ministerial title, which Japan said shows a lack of respect.

JAPAN TIMES; KYODO NEWS

PRC-ECONOMY

EU trade chief heads to Beijing as Brussels weighs tougher line on China imports

Maros Sefcovic departs for two days of talks with Commerce Minister **Wang Wentao** in Beijing Thursday and Friday, three months after Brussels set an October deadline for signs of rebalancing in the trade relationship, per SCMP. The EU is separately preparing an import cap on Chinese hybrid vehicles, Bloomberg reported, as the NYT notes China's manufacturing self-reliance drive has widened its trade imbalance with Europe.

SCMP; NYT; BLOOMBERG

TECHNOLOGY

China's AI boom keeps homegrown talent, but fails to draw foreign researchers

China's booming domestic AI sector gives local researchers good reason to stay, but the country has yet to attract overseas scientists despite a government recruitment push, the New York Times reports. The dispatch frames the gap as a vulnerability in Beijing's race with Washington for AI talent.

NEW YORK TIMES

INDO-PACIFIC

Philippine Coast Guard to get three extended-range surveillance aircraft under \$39.6 million US contract

The US Navy awarded a \$39.6 *million* contract on September 28 for three second-hand King Air 350-series aircraft, two modified with extended-range fuel systems and upgraded avionics, SCMP reports. The aircraft will expand Manila's reach and endurance to monitor Chinese coast guard, naval and research vessels across the South China Sea.

SCMP

SANCTIONS

Taiwan indicts 10 for reselling restricted chips to Hong Kong, mainland China

Taiwanese prosecutors indicted 10 individuals for illegally reselling export-restricted chips to Hong Kong buyers with onward routes to mainland China, Focus Taiwan reports. The case adds to a string of transshipment-evasion prosecutions as Washington and Taipei tighten enforcement against circumvention of export controls on advanced semiconductors.

FOCUS TAIWAN

-
- TECHNOLOGY** Mistral unveils AI model it says rivals China's best open-weight systems · CNBC China
French AI company Mistral launched a new model it says can compete with top open-weight and open-source systems from China, CNBC reports. The launch reflects a broader push by Western developers to close the gap with Chinese AI labs on open-source performance.
-
- TECHNOLOGY** TSMC supplier Gudeng launches operations at new Arizona plant · Focus Taiwan
Gudeng Precision, a key TSMC supplier, began operations at its new Arizona facility, Focus Taiwan reports, part of a wider build-out of Taiwanese semiconductor supply-chain capacity in the US. The move follows TSMC's own expanding Arizona investment.
-
- TECHNOLOGY** Micron's Taoyuan union secures strike authorization, weighs 'surprise strike' · Focus Taiwan
The union at Micron's Taoyuan, Taiwan facility secured authorization for a strike and is weighing a 'surprise' walkout, Focus Taiwan reports. The dispute adds labor-relations risk to Micron's Taiwan memory-chip operations.
-
- PRC-ECONOMY** Could China's gradual dollar pivot cause tremors after the Xi-Trump summit? · SCMP
China's push to diversify away from US dollar assets loomed as an unspoken issue during the Xi-Trump summit, SCMP reports, though it was not a formal agenda item. Beijing has been cutting US Treasury holdings while expanding the yuan's global use.
-
- CROSS-STRAIT** Taiwan Coast Guard debuts drones at National Day rehearsal · Taiwan News
Taiwan's Coast Guard showcased drones during rehearsals for National Day celebrations, Taiwan News reports, part of a push to integrate unmanned systems into maritime patrol operations. The debut comes amid increased patrol activity around Taiwan's outlying islands.
-
- TECHNOLOGY** Suzuki's mini-EV bet exposes Japan's battery dependence on China · Nikkei Asia China
Suzuki Motor is betting on a new mini electric vehicle to defend its home market against Chinese EV rivals, Nikkei Asia reports. The launch highlights Japan's continued reliance on Chinese battery supply chains in its smallest-car segment.
-
- CROSS-STRAIT** Taiwan's top diplomat opens new quasi-diplomatic mission in Arizona · Nikkei Asia China
Taiwan's foreign minister launched a new quasi-diplomatic mission in Arizona during a three-day US visit, Nikkei Asia reports. The trip underscores deepening Taiwan-US engagement tied to the state's growing semiconductor investment.
-
- TECHNOLOGY** US and China headed for a showdown over 6G · WaPo China
The US and China are heading toward a clash over next-generation 6G wireless standards, the Washington Post reports, framing it as a new front in the bilateral technology rivalry. The dispatch follows years of US restrictions targeting Chinese telecom and semiconductor exporters.
-

DIPLOMACY · REUTERS

US and China discuss reciprocal visits to nuclear sites, CNN reports

The US and China are discussing reciprocal visits to each other's nuclear facilities, CNN reported via Reuters, a potential transparency and confidence-building measure. No date or scope for any visits has been confirmed.

CONGRESS · HOUSE SELECT CCP

Moolenaar calls for review of Hong Kong's access to Federal Reserve liquidity tool

House Select Committee on the CCP Chairman **John Moolenaar** called for a review of Hong Kong's access to a Federal Reserve liquidity facility, per a committee release. The move adds to congressional scrutiny of Hong Kong's financial privileges amid its alignment with Beijing.

MILITARY · TAIPEI TIMES (DIRECT)

Taiwan defense minister: no word of \$14 billion arms package being split into tranches

US Senator **Michael Bennet** is visiting Taiwan this week to meet senior officials on regional security and the Taiwan-US partnership, AIT announced. Defense Minister **Wellington Koo** said he had not heard of plans to split a prospective *\$14 billion* arms sale into smaller packages after Trump withheld approval to preserve the trade truce with Xi.

INVESTMENT · NIKKEI ASIA CHINA

TSMC and other Taiwanese firms step up AI spending in US, Southeast Asia

Taiwanese companies have increased overseas investment to build out supply chains for surging AI demand, Nikkei Asia reports, with the US and Southeast Asia drawing fresh capital from TSMC's supply-chain partners. The build-out follows years of US pressure for chip production diversification away from Taiwan.

CROSS-STRAIT · HONG KONG FREE PRESS

Taiwan charges four over Hong Kong-funded surveillance of DPP lawmaker Puma Shen

Taipei prosecutors charged four Taiwanese defendants with surveilling, filming and photographing DPP lawmaker **Puma Shen** and his family two years ago, allegedly hired by two Hong Kong residents. Shen, an outspoken critic of Beijing, has previously accused China of transnational repression against Taiwanese dissidents.

JAPAN · NIKKEI ASIA CHINA

Xi leaves Japan uncertain on a China summit at APEC

Japan hopes to arrange a regular summit with China on the sidelines of next month's APEC meeting in Shenzhen, but Tokyo has received no confirmation from Beijing, Nikkei Asia reports. The uncertainty comes amid the ongoing dispute over Prime Minister Takaichi's Taiwan remarks.

KOREA · REUTERS

North Korea criticizes US support for Taiwan, pledges backing for Russia

North Korea criticized US support for Taiwan and pledged continued backing for Russia, Reuters reports, linking the two issues in a single statement. The remarks align Pyongyang with Beijing and Moscow's shared opposition to US regional alliance-building.

RUSSIA-CENTRAL ASIA · BLOOMBERG

China says it is in contact with Russia on suspected plague case

China's foreign ministry said Beijing is in contact with Moscow over a suspected plague death at a Russian research institute, Bloomberg reports. The statement follows days of Russian stonewalling toward Washington's requests for information on the case.

EUROPE · BLOOMBERG

Franco-German unity on China trade paves way for tougher EU line

France and Germany have aligned on a tougher approach to Chinese trade practices, Bloomberg reports, paving the way for a harder EU negotiating line. The alignment comes as EU trade chief Sefcovic prepares for two days of talks with Commerce Minister Wang Wentao in Beijing.

EUROPE · NIKKEI ASIA CHINA

UK universities review China ties after MI5 espionage alert

British universities are telling academics to disclose links to a Chinese research institute named in an MI5 espionage alert, Nikkei Asia reports. The review reflects heightened UK scrutiny of academic ties to Chinese state-linked institutions.

MIDDLE EAST · REUTERS

Chinese independent refiners boost Iraqi oil purchases as Iranian flows fall

Chinese independent refiners have increased purchases of Iraqi crude as Iranian oil flows decline, traders told Reuters. The shift suggests Chinese buyers are diversifying sanctioned-oil sourcing amid tighter enforcement against Iranian exports.

MULTILATERAL · REUTERS

China plans late entry into WHO leadership race, sources say

Beijing is weighing a late entry into the race for the World Health Organization's top leadership post, sources told Reuters. A Chinese candidacy would mark a bid for greater influence over a key multilateral health body.

LATIN AMERICA · 联合早报 (LIANHE ZAOBAO ZH)

Poll: Latin Americans now view China's influence more favorably than the US's

A Latinobarómetro survey found 65 *percent* of Latin Americans view China's regional influence positively, up from 48 percent in 2020, versus 57 percent for the US, down from 60 percent. It is the first time China has topped the index since the survey began in 1995, leading in 15 of 17 countries surveyed.

• STAT OF THE DAY

\$90 billion+

US semiconductor imports, January-August 2026

Nearly double the same period in 2025 and a chief driver of the US August trade deficit hitting \$105.6 billion, a 17-month high, per Commerce Department data reported by Lianhe Zaobao.

联合早报 (Lianhe Zaobao)

AUTO / MERCEDES-BENZ · REUTERS CHINA

Mercedes-Benz Q3 global sales fall 8% as China demand weakness persists

Mercedes-Benz's third-quarter car sales fell *8 percent* as weak demand in China continued to weigh on the German automaker, Reuters reports, though its EV sales rose 52 percent.

FINANCE / PBOC · BLOOMBERG CHINA

China's central bank adds gold in September as bullion weakens

The People's Bank of China added to its gold reserves in September even as bullion prices weakened, Bloomberg reports, continuing a multi-year diversification push away from US dollar assets.

ENERGY / QATARENERGY · BLOOMBERG CHINA

QatarEnergy secures \$3 billion loan from four Chinese banks

QatarEnergy secured a *\$3 billion* loan from four Chinese banks, Bloomberg reports, deepening financial ties between Qatari energy interests and Chinese state lenders.

AUTO · BLOOMBERG CHINA

EU prepares import cap on Chinese hybrid cars to balance trade

The EU is preparing an import cap on Chinese hybrid vehicles, Bloomberg reports, as Brussels seeks to rebalance a widening trade deficit with China ahead of this week's talks in Beijing.

ENERGY / VENTURE GLOBAL · BLOOMBERG CHINA

Venture Global in talks to sell more US LNG to Chinese buyers

Venture Global is in talks to sell more US liquefied natural gas to Chinese buyers, Bloomberg reports, part of continued US-China energy trade engagement following the Trump-Xi summit's trade commitments.

FINANCE · FT CHINA

China's tax crackdown rattles offshore wealth managers in Hong Kong, Singapore, Tokyo

A Chinese crackdown on offshore wealth has rattled the country's richest individuals and the Hong Kong, Singapore and Tokyo firms that manage their money, the FT reports.

FINANCE / TSMC · BLOOMBERG CHINA

Taiwan dethrones Korea atop world markets as AI trade widens

Taiwan's stock market has overtaken Korea's as the top-performing major market amid the widening AI trade, Bloomberg reports, with TSMC's dominance in advanced chipmaking driving the rally.

• WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · WEDNESDAY, OCTOBER 7, 2026

商务部 · MINISTRY OF COMMERCE · Wang Min, Ambassador

China's embassy launches Africa resilience and community health program

Ambassador Wang Min attended the launch of an Africa resilience-building and community health empowerment initiative, part of continued Chinese development assistance engagement on the continent.

→ MOFCOM ↗

• WHAT BEIJING IS SAYING

王毅 · WANG YI · JAPAN PM TAKAICHI'S TAIWAN REMARKS

FIRM · TO JAPAN

Wang Yi ¹ · Foreign Minister

“Per Japan Times: China's foreign minister said Prime Minister Takaichi must resolve the Taiwan remarks dispute herself, rejecting proposals for an indirect fix through a third channel.”

Statement follows a continuing row over Takaichi's Taiwan comments; Kyodo separately reported Japan protested Chinese officials referring to the premier by name only, without her title.

Japan Times

外交部 · MOFA · US ARREST OF ALLEGED PRC AGENT SURVEILLING LAI CHING-TE'S SON

FIRM · TO US

MOFA spokesperson ¹ · Ministry of Foreign Affairs spokesperson

“China has always opposed hyping up so-called 'Chinese spies' in order to defame and smear China.”

中國一貫反對炒作所謂『中國間諜』，以此詆毀、抹黑中國

FBI arrested Zhang Wanying on an unregistered foreign agent charge after she allegedly surveilled an adult child of President Lai Ching-te in Seattle; Republican senators called it evidence of CCP infiltration of the US.

China Times (ZH)

外交部 · MOFA · CHINA-RUSSIA COOPERATION ON INFECTIOUS DISEASE CONTROL

ROUTINE · TO RUSSIA

MOFA spokesperson ¹ · Ministry of Foreign Affairs spokesperson

“Per RFI: China's foreign ministry said Beijing and Moscow maintain close exchange and cooperation in the field of infectious disease prevention and control.”

中俄在传染病防控领域保持密切交流合作

Statement comes as Russian presidential aide Nikolai Patrushev prepares to visit China Thursday, and as Washington presses Moscow for information about a plague death at a Russian research institute.

RFI (ZH)

TECHNOLOGY

NIKKEI ASIA CHINA

Taiwan's AUO, Innolux bet on glass as next-gen AI chip material

AUO showcased a glass-core substrate for semiconductors at Semicon Taiwan, Nikkei reports, as Taiwanese panel makers pivot toward AI chip packaging materials.

CROSS-STRAIT

TAIPEI TIMES (DIRECT)

Hong Kong gang member indicted over assault on Taiwan-based Japanese commentator

Prosecutors indicted Hong Kong triad member Liu Kong-faat over the July assault on commentator Akio Yaita in a Taichung hotel; four other Hong Kong gang suspects remain at large.

观察者网 (GUANCHANG ZH)

Guancha calls Taiwan's pre-election F-16V delivery 'political manipulation'

Chinese nationalist outlet Guancha said the delivery of two F-16Vs to Taiwan just before the Nov 28 local elections, after they sat in Hawaii for weeks, was timed as political manipulation to boost the DPP.

美国之音中文 (VOA CHINESE ZH)

Multiple US Congress members visit Taiwan after Trump-Xi summit

Several US lawmakers are visiting Taiwan following last month's Trump-Xi summit, VOA Chinese reports, with AIT saying the visits reinforce the US-Taiwan partnership.

美国之音中文 (VOA CHINESE ZH)

Backlash follows China's boycott reaction to Cai Kangyong's DPP campaign appearance

China's reaction to entertainer Cai Kangyong appearing at a DPP mayoral campaign launch triggered Taiwanese backlash over what VOA Chinese describes as expanding cross-border coercion against dissidents.

DIPLOMACY

新华社 (XINHUA ZH)

Shanghai music teacher who went missing in Thailand returns home safely

China's embassy in Thailand confirmed a Shanghai music teacher who had gone missing in Bangkok returned safely, Xinhua reports, renewing warnings about scam-recruitment schemes targeting Chinese nationals.

MARKETS

TAIPEI TIMES (DIRECT)

Taiwan shares close at record high, just below 50,000-point mark

The TAIEX closed at a record 49,822.55, up 0.22 percent, with TSMC closing at another high ahead of its Oct. 15 investor conference, Taipei Times reports.

● UPCOMING

Oct
8

Sefcovic meets Wang Wentao in Beijing

Two days of EU-China trade talks Oct 8-9, three months after the last Brussels encounter and against an October deadline Brussels set for signs of rebalancing.

Oct
15

TSMC investor conference

Investors expect updated guidance on AI demand and overseas expansion; TSMC accounts for more than 40 percent of the TAIEX's total value.

Oct
25

UN Resolution 2758 55th anniversary

Contested-interpretation flashpoint over Taiwan's UN status, closely watched by Taipei and Washington.

Nov
3

US midterm elections

Outcome could shape the composition and posture of the China-focused committees in the 119th Congress.

Nov
28

Taiwan nine-in-one local elections

22 mayoral and magistrate races read as a mid-term on President Lai; pre-election F-16V delivery and DPP campaign dynamics already in play.

CSIS China Programs

CHINA DAILY BRIEF

Washington, D.C.

[Read online](#)

[Past issues](#)

You are receiving the China Daily Brief as a member of the CSIS China Programs distribution list.

This newsletter is automatically generated, so it may contain errors. Please check all information and sources before citing. To report errors or other issues, please contact Andy Lim at alim@csis.org.

generated 7:13 AM ET

[↑ BACK TO TOP](#)

© 2026 Center for Strategic and International Studies